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Jan 10: Payment to Mohan decreases cash, so it has been recorded in the credit side.

Jan 27: Purchase of furniture for cash reduces cash, so it has been recorded in credit side.

Jan 31: Payment of salaries in cash reduces cash, so it has been recorded in the credit side of cash book.



Student activity

Think: In cash book, receipts are entered on the debit side and payments are entered on the credit side. Why?

Illustration 2

Enter the following transactions in a single column cash book of Pradeep for April, 2017

April		`
1	Commenced business with cash	27,000
5	Bought goods for cash	6,000
10	Goods sold for cash	11,000
13	Paid into bank	5,000
14	Goods sold to Sangeetha for cash	9,000
17	Goods purchased from Preethi on credit	13,000
21	Purchased stationery by cash	200
25	Paid Murugan by cash	14,000
26	Commission paid by cash	700
29	Drew from bank for office use	4,000
30	Rent paid by cheque	3,000

Solution

In the books of Pradeep

Dr. **Cash Book (Single column)** **Cr.**

Date	Receipts	L.F.	Amount `	Date	Payments	L.F.	Amount `
2017				2017			
April 1	To Pradeep's			April 5	By Purchases A/c		6,000
	capital A/c		27,000	13	By Bank A/c		5,000
10	To Sales A/c		11,000	21	By Stationery A/c		200
14	To Sales A/c		9,000	25	By Murugan A/c		14,000
29	To Bank A/c		4,000	26	By Commission A/c		700
				30	By Balance c/d		**25,100**
			51,000				**51,000**
May 1	To Balance b/d		25,100				